4-5f Step 6. Journalizing and Posting Adjusting Entries

Based on the adjustment data shown in Step 4, adjusting entries for Kelly Consulting are prepared as shown in Exhibit 13. Each adjusting entry affects at least one income statement account and one balance sheet account. Explanations for each adjustment including any computations are normally included with each adjusting entry.

Exhibit 13

Adjusting Entries, Kelly Consulting

Journal ***Page 3***

Date		**Description**	**Post.Ref.**	**Debit**	**Credit**
20Y8		Adjusting Entries			
Apr.	30	Insurance Expense	55	300	
		Prepaid Insurance	16		300
		Expired insurance.			
	30	Supplies Expense	53	850	
		Supplies	14		850
		Supplies used ($2,200 – $1,350).			
	30	Depreciation Expense	54	330	
		Accumulated Depreciation	19		330
		Depreciation of office equipment.			
	30	Salary Expense	51	120	

Journal				Page 3
Date	**Description**	**Post.Ref.**	**Debit**	**Credit**
	Salaries Payable	22		120
	Accrued salary.			
30	Rent Expense	52	1,600	
	Prepaid Rent	15		1,600
	Rent expired during April.			
30	Unearned Fees	23	2,500	
	Fees Earned	41		2,500
	Fees earned ($5,000 – $2,500).			

Each of the adjusting entries shown in Exhibit 13 is posted to Kelly Consulting's ledger shown in Exhibit 18. The adjusting entries are identified in the ledger as "Adjusting."